

NATURAL RESOURCE PARTNERS LP NRP

November 27, 2025 - 12:40pm EST
by

AIFL

			2025	2026
Price:	105.00	EPS	0	0
Shares Out. (in M):	13	P/E	0	0
Market Cap (in \$M):	1,326	P/FCF	8.2	6.3
Net Debt (in \$M):	38	EBIT	160	210
TEV (in \$M):	1,364	TEV/EBIT	8.2	6.3

Description

I believe NRP to be a timely, straightforward special-situation that should resolve in the next 1-2 quarters. If it is not resolved via revaluation, we should be paid handsomely to wait.

I won't rehash everything as NRP is no stranger to VIC, but here is the situation in a nutshell:

NRP is an MLP that primarily leases mineral rights to coal producers across the US. They also own 49% of Sisecam Wyoming, a low-cost soda ash producer in Wyoming (Sisecam was recently taken private and has also been written up on VIC before under the ticker CINR). NRP was historically very levered, as management used debt to acquire many oil&gas assets from 2010-2014. By 2015, NRP found itself in trouble as commodity prices tanked. They reached a peak of ~\$1.4B debt in 2014, and a leverage ratio of over 5x in 2015. In 2017, NRP was forced into issuing 12% convertible preferreds in order to avoid bankruptcy (which at the time would have been significantly dilutive). At this point, management began the process of aggressively deleveraging the company. This included asset sales, cutting the dividend, and plowing all FCF into deleveraging. As of Q3 2025, NRP has redeemed the entirety of the preferreds in cash, and is down to ~\$38mm in net debt. Management has been extremely vocal about their plans over the past ~8 years - pay down all of their debt/preferreds/warrants, after which all free cash flow will go towards common unitholders. Well, we are finally on the brink of that happening, after which either shares should re-rate or we will get paid a handsome dividend to wait. At current coal and soda ash pricing (which is ugly at the present, so there is further upside to these numbers if pricing were to recover), this represents a 12% dividend yield. However, soda ash is currently in the worst pricing environment it has seen in many years with pricing currently below the production costs of most producers. If Sisecam simply returned to its long-term average, the dividend yield would improve to ~15%.

While you could use NRP's history as a reason not to invest, I view it quite differently. Corbin Robertson has been CEO and chairman of NRP since it went public in 2002. He stuck his hand in the fire, got burned, and learned from it. Personally, I like to invest with management teams that have made mistakes but clearly learned from them as that is ultimately how people grow as an investors. Obviously, this is only true if management actually LEARNED from mistakes and doesn't repeat past behavior. This seems to be the case here, not just with the language coming out of management but also with their actions over the past ~decade.

Soda Ash:

Historical numbers from NRP's stake in Sisecam Wyoming:

	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025 9mo
Revenue	\$ 442.10	\$ 465.00	\$ 486.40	\$ 475.20	\$ 497.30	\$ 486.70	\$ 522.80	\$ 392.20	\$ 540.10	\$ 720.10	\$ 773.60	\$ 578.10	N/A
EBITDA	\$ 104.40	\$ 120.50	\$ 133.90	\$ 116.50	\$ 120.10	\$ 136.50	\$ 135.40	\$ 61.60	\$ 88.50	\$ 162.00	\$ 195.50	\$ 83.20	\$ 12.20
NRP Distribution	\$ 79.80	\$ 43.00	\$ 46.80	\$ 46.50	\$ 49.00	\$ 46.50	\$ 31.80	\$ 14.20	\$ 11.30	\$ 44.80	\$ 81.40	\$ 38.70	\$ 7.80
Volume Sold (thousands of short tons)	2492.2	2548.3	2665.4	2735.7	2705.4	2613.2	2759.1	2221.9	2813.5	2660.1	N/A	N/A	N/A
Average Sales Price (per short ton)	\$ 177.41	\$ 182.49	\$ 183.18	\$ 173.70	\$ 183.82	\$ 186.25	\$ 189.48	\$ 176.52	\$ 191.97	\$ 270.70	\$ 284.97	\$ 235.60	N/A

I won't dig deeper into NRP's past as previous writeups have already done so. Instead, I would like to dig deeper into NRP's current cash flows to figure out what a normalized level of distribution would be (as MLPs ultimately trade directly in line with yield). So what is currently affecting NRP's distributable cash flow? Well, obviously NRP currently isn't distributing anything as they pay down their debt load. But in terms of the actual cash flows, the main detrimental factor is their soda ash segment, which is their 49% ownership of Sisecam Wyoming. Pre-covid, soda ash production was historically a very stable business. Covid threw a wrench into things by whiplashing soda ash demand severely downwards in the wake of shutdowns, followed by prices soaring in 2021 and 2022. Those high prices encouraged incremental production to be built in China, which is currently being absorbed by the market. By 2024, this extra production cratered soda ash pricing by an extent we haven't seen in the past 25 years. With that being said, current prices are well below production costs of synthetic producers (read previous NRP/CINR writeups to see the difference between natural and synthetic production, and the associated cost curves). I

would expect the current pricing environment to force the closure of much of the incremental synthetically produced soda ash, and for the market to eventually revert back to a normal status quo with natural producers earning an attractive return.

In the most recent Q, NRP actually generated a loss on its soda ash segment. That is fairly bizarre when you consider that NRP didn't even generate a loss in 2020 which had been the largest disruption to the soda ash market in this century. Soda ash volumes, which are typically very stable and generally only change by 1-2% in any given year, dropped by 17% in 2020. Even so, NRP still generated \$61mm EBITDA, which represented a ~16% EBITDA margin. This is for a commodity production business with high fixed costs. For NRP's soda ash business to be currently losing money means that the soda ash market is undergoing some major turmoil. As mentioned above, current prices are certainly below the production costs of synthetic producers.

So what does NRP's soda ash segment generate in a normal year? We have results from NRP going back to 2013 and from 2013-2019 (the last period of normal years) NRP averaged \$49mm in annual distributions. One of those years was abnormal with a dividend recap after acquiring the asset, so a better/more conservative estimate of normalized annual distributions is likely around \$44mm.

As a brief aside, we have 2 transactions from the past 3 years that give us a good idea of what NRP's soda ash asset is likely worth to an external buyer. Sisecam Wyoming was taken private by Sisecam in 2023. Sisecam also purchased the entity from Ciner Resources back in 2022. For the take-private transaction, Sisecam purchased all of the publicly held common units that were not owned by NRP (so the other 51% of the entity) at \$25 per common unit. This would imply NRP's stake in Wyoming is worth ~\$475mm. However, Sisecam paid ~\$34 per common unit when purchasing Ciner's stake in 2022, which would imply NRP's stake is worth ~\$650mm. This represents between 35-50% of NRP's current market cap. I tend to lean more towards NRP being worth the \$650mm number, as the take private did not include the purchasing of general partner units, while the purchase of Ciner did include the general partner units. NRP's units are not burdened by the GP's "incentive distribution rights," which the common units purchased by Sisecam were. You can see the terms of the IDR below:

	Total Quarterly Distribution per Unit Target Amount	Marginal Percentage Interest in Distributions		
		Unitholders	General Partner	Incentive Distributions Right
Minimum Quarterly Distribution	\$0.5000	98.0%	2.0%	—%
First Target Distribution	above \$0.5000 up to \$0.5750	98.0%	2.0%	—%
Second Target Distribution	above \$0.5750 up to \$0.6250	85.0%	15.0%	13.0%
Third Target Distribution	above \$0.6250 up to \$0.7500	75.0%	25.0%	23.0%
Thereafter	above \$0.7500	50.0%	50.0%	48.0%

You can see that at any quarterly distribution level above \$0.75 results in the GP claiming 50% of incremental distributions. At \$0.625, the GP would claim 25%. While it wasn't common, there were multiple years in the past decade where this asset either could have or did distribute cash in excess of the \$.75 level. Hence, it is clear that NRP's units are worth far more than common units in Sisecam.

Coal:

Let's address the elephant in the room - people hate coal. I get it. Thermal coal probably doesn't have a great outlook. However, met coal production has been steadily growing worldwide and is projected to continue growing for years to come. Projections for growth over the next decade seem to be anywhere in the range of a 2-4% CAGR.

At NRP, met coal volumes have been stable since 2005 (which is as far back as they report met production), while thermal coal volumes have ping-ponged around quite a bit. However, met coal currently accounts for ~56% of NRP's coal sales volumes and ~75% of coal revenues. I'm not saying that thermal coal is entirely negligible when it comes to NRP, but it certainly isn't making up a large part of the value here. When you consider other revenue line items as well as a normalized soda ash environment, I estimate thermal coal makes up ~18% of NRP's revenues. I don't view this as a huge deal when the rest of the revenue should be growing at ~GDP rates.

As for figuring out normalized distribution numbers, NRP's coal pricing is also at the worst level we've seen since the 2014/2015 commodity crisis (outside of 2020). While it's not a large difference, NRP's coal revenues per ton would need to come up a bit to hit their long term averages. NRP is currently at \$4.51 royalty revenue per ton vs their average since 2010 of \$4.71. For an average production year, this would result in an incremental \$6mm cash flow.

Valuation:

In my experience, MLPs tend to trade directly in line with current distribution yields, oftentimes disregarding major factors currently affecting their distributable cash flows. Obviously, NRP's current yield is zero outside of the small distribution they make to cover tax burdens. Regarding the actual cash flows, abnormal pricing has also significantly affected NRP. So what would be a normalized level of distributable cash flow for NRP?

Normalizing for soda ash and coal royalty revenues gives us a normalized distributable cash flow number of ~\$210mm. Management has been straightforward about their plans of becoming obligation free and then distributing all cash flow to common unit holders. \$210mm would represent a ~15-16% dividend yield.

If none of the above happened - soda ash stayed permanently impaired (don't see any reasonable explanation why this would be the case, but for argument's sake) and coal pricing remained depressed - NRP would have a distributable cash flow number of ~\$165mm, which would represent a ~12% yield. Considering this is a worst case scenario of an all but guaranteed special situation happening in 1-2 quarters, that's not bad.

So what is NRP ultimately worth? It seems that most mineral rights MLPs trade in the range of 8-10%. I'd argue that NRP having zero obligations (no debt, preferreds, or warrants), no incentive distribution rights, and the presence of the soda ash segment (even though it's not performing well right now, I believe it's a very high quality asset) tilts the scale towards being higher quality than some other peers. A valuation of 8-10% yield would value NRP between \$160 and \$201 per share. I wouldn't expect it to receive this valuation the moment distributions are turned on, as it may take a bit for soda ash to recover. If we instead take the steady state numbers, the valuation would be between \$126 and \$160 per share.

However, there is another scenario worth considering. Sisecam has shown a clear desire to own NRP's soda ash asset - purchasing the GP units and 60% of the public common units in 2022, taking the rest of the public units private in 2023, and again purchasing a minority stake from WE soda in 2024. If NRP were to sell its stake in Sisecam Wyoming, the numbers look even more compelling. For reasons mentioned above, I believe any sale would occur in the \$650mm range. This would give NRP an EV of ~\$670mm on distributable cash flow of ~\$165mm. Assuming NRP distributed the proceeds in a special dividend, the remaining entity would be yielding ~25%.

Conclusion:

For years, NRP was somewhat of a "what if" scenario regarding obligation paydown many years down the road. That is no longer the case. NRP was a massive covid beneficiary, not in the negative sense that they had one-time boom years that then crashed down to earth, but in the positive sense that their covid windfall allowed them to completely pay down their debt, preferreds, and warrants. The goals management laid out nearly a decade ago have finally become reality, and common unitholders stand to be the ones to benefit. What I have not previously mentioned is that management owns 3.2M common units, representing ~\$330mm, so they are largely incentivized to follow through on their plans.

NRP is currently at ~\$38mm in net debt, and has a stated goal of \$30mm in net cash before they turn on distributions. At their current run rate of cash flow (~\$160mm), it will take about 1.5 quarters to get to \$30mm net cash. This means that distributions should be turned on 2-3 quarters from now. Management is guiding to 3 quarters, but I think that is mostly due to their own conservatism. So in 2-3 quarters we have an entity that is yielding 12%, moving up to 15% over the next few years as soda ash recovers.

Risks:

- Collapse in met coal pricing
- Continued poor pricing in soda ash

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Distributions are turned on in 2-3 quarters after NRP becomes debt-free

Messages

Subject Bear/Base case assumptions
Entry 11/29/2025 07:10 AM
Member ValugoBRRR

What are you assuming for the pricing environment for coal and soda ash in your normalized DCF of \$210 mm? How does that compare to history / mid-cycle pricing for the commodities? I ask because I'm a little surprised the difference in DCF between depression level pricing for the underlying commodities vs. normalized is so tight ie \$165 mm vs. \$210 mm.

Subject Re: Bear/Base case assumptions
Entry 11/30/2025 12:37 PM
Member AIFL

Nearly the entire delta is coming from soda ash. I don't think current coal pricing is far off from a normalized level. The assumption for their coal pricing is \$4.71 (vs \$4.50 currently) royalty revenue per ton, which would be comparable to the 2018/2019 pricing levels. I would say this is about the mid-point through the cycle for pricing.

Distributions from their soda ash asset, however, are currently zero. Pre-covid, the average distribution from this asset was between \$40-50mm. As mentioned in the writeup, soda ash was historically very stable pre-covid, but has not been very stable in the past 5 years. As for what the pricing environment needs to be in order to generate that 40-50mm distribution, we don't quite know yet. Production costs have risen in the past few years, and we haven't seen a "normal" year since covid. Historically, Sisecam Wyoming's average sales price was in the \$170-180 range per short ton, and they distributed \$40-50mm to NRP at that pricing. So the number needed to generate the same distribution now is certainly higher, but we're not quite sure how much. What I didn't mention in this writeup (but what earlier NRP/CINR writeups discussed) is that NRP's soda ash asset is at the bottom end of the cost curve, so regardless how the soda ash market shakes out they should eventually generate an attractive return.

Subject questions
Entry 06/11/2026 10:47 AM
Member finn520

AIFL,

To confirm on soda ash/Sisecam Wyoming, looks like in JV 2025 Q4 had \$113m debt and \$9m cash = \$104m net debt, with most of that from credit facility, so the funding in 2026 Q1 (\$39.2m) and forward is just funding the losses/keep credit facility in check until things bounce back? Seems like worst case they can just keep doing that in perpetuity, until debt is paid off and operations turn around. At this point, not much debt left and losses likely manageable, so doesn't seem like huge problem.

Do you think they just keep funding that/hold on and wait until recovery or possibly sell it? The 2026 Q1 transcript seems to indicate the former but not rule out the latter.

What do you think of the stock here?

Thanks.

Thanks.